

Trade Theory: Begin Here

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This is a reading list mostly on classical trade theories, trade policy and some recent developments in the field within these sub fields. Generally, these topics are less interesting to the journals so there needs to be a newer empirical or theoretical hook for work on these models to continue. Or the more recent papers deal with contemporary questions and give answers to the discussion of our times.

1. Comparative Advantage

This is probably the most important concept in trade and the most basic. To say that most of trade is a result of technological differences because scarcity rules is to say something basic. However, it is a good starting point in analysis.

1.1 Pedagogy

[Findlay \(1987\)](#)

[Bernhofen and Brown \(2018\)](#)

1.2 Theory

– [Dornbusch et al. \(1977\)](#)

The definitive many good version of Ricardian model which has become the textbook version of Ricardian model at higher levels.

– [Costinot et al. \(2015\)](#)

This is a very important paper. The idea is that while we have a reasonable understanding of comparative advantage, we do not have an understanding of what this model says about trade policy and intervention. This is an attempt at answering different set of questions using the model which posits comparative advantage. * This is an interesting way of posing a question too. If we cannot contribute by asking old questions, ask new questions from the old model.

– [Gaubert and Itskhoki \(2021\)](#)

This is the most recent work using comparative advantage. This also could be the intersection of international trade (a conventional field) and industrial policy which specifically focuses on how to curb the market power of some large firms. They break down comparative advantage to an average firm behavior v. behavior generated by some large firms.

– [Grossman and Helpman \(1990\)](#): Well cited

– [Bernard et al. \(2007\)](#): Very well cited. The theory combines a two-country model with specialization based trade with heterogeneous firms.

- Clarida and Findlay (1992)
- Costinot (2009a)
- Deardorff (1980)
- Deardorff (2005)
- Costinot (2009b)
- Neary (2007)
- Keesing (1966)
- Redding (1999)
- Matsuyama (1992)

1.3 Empirics

- Bernhofen and Brown (2004)
- Costinot and Donaldson (2012)
- Levchenko and Zhang (2016)

A sectoral take on specialization and comparative advantage. Cross country regressions but at the sectoral level. Thinking about doing this work, if it could be done, seems silly at this stage. Especially because at the time this work was published, cross country convergence regressions were discarded and empirical work would have been looked down upon.

- Golub and Hsieh (2000)
- Chor (2010)
- Hummels and Levinsohn (1993)
- Hoen and Oosterhaven (2006)

1.4 Comparative Advantage Applied Elsewhere

- Boehm et al. (2022)

Interesting piece of evidence on Indian firms production structure. The idea is that if firms have readily available inputs, then they tend to specialize and produce in the sector which has fewer input frictions.

- Davis and Dingel (2020)

The idea is that of underlying labor specialization which causes some cities to specialize in some products. The intersection of labor and trade is very nice.

- Hunt and Morgan (1995)

This piece is even more cited than the benchmark comparative advantage work by DFS. It is applying comparative advantage as a concept to marketing and explaining the monopoly power of firms. 5K citations and counting.

- Suri (2011)

This is the concept adapted to technology adoption by farmers. The data applied to an

econometric model is what makes this work worthy of econometrica. It is a sharp neat application.

– [Nunn and Treffer \(2014\)](#)

This paper examines how domestic institutions can be a source of comparative advantage. So rather than pinning comparative advantage to technology or labor productivity, this talks about institutions such as what Adam Smith mentions when he talks about institutions supporting free market to function and trade to occur.

– [Liu et al. \(2020\)](#)

– [Do et al. \(2016\)](#)

– [Ju and Wei \(2011\)](#)

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